During the research for this book, it came to light that the Birla Group had 10.3 per cent more shares than Tata Sons in TISCO as on 31 March 1993.

The holdings were also dangerously low in the seven remaining companies out of the ten mentioned earlier—1.07 in Indian Hotels; 7.51 in Rallis India Ltd; 8.76 in Tata Chemicals Ltd 0.32 in Tata Power Company Ltd; 8.34 in Tata Tea Ltd; 2.49 in Titan Watches Ltd; and 13.07 in Voltas Ltd. The combined market cap of the nine companies was also not too high, says Soonawala. In 1991, it was only Rs 7,727 crore. The steel giant TISCO had Rs 3,653 crore, the highest in the group.

Ratan's answer to the threat was to raise Tata Sons' stakes in individual companies, adopting a strategy that was in many ways untested in Indian corporate history. Speaking in 2002, Ratan said that 'one of the first issues that struck' him when he 'embarked on the restructuring programme' was whether the group had a 'right to manage them' because of its small shareholdings.

Consequently, he set himself the 'task to raise the group's shareholding in these companies to at least 26 per cent'. It was more of an existential issue, as the 'biggest 12 companies in the group made up 85-odd per cent of group sales and 90-odd per cent of the group's profits', he added in an interview to a leading business journal in 2002. He worked to ensure that the group's large companies were bound to Tata Sons at the centre through strong and virtually inseverable stakes.

In his scheme of things, dissociation could only happen with the consent of its shareholders. His approach was influenced by the 'need to put the companies in a framework where they would move in one direction', as he told a leading journal in 2003.

Three innovative strategies were employed by Ratan and Soonawala to raise funds to increase Tata Sons' stakes. The first strategy was implemented with the help of the surplus generated by TCS, which was then a division of Tata Sons. It enabled Tata Sons to raise funds through debentures by privately placing them with UTI, LIC, Army Group Insurance Fund, etc. The second was to raise funds through a rights issue of Secured Premium Notes (SPN) by TISCO in July 1992, enabling Tata Sons to increase its stake in its promoted company with the monies going back to it to be employed for its growth, says Subedar. The third leg was more elaborate, involving a rights issue of Tata Sons' shares.